

Write your name here Surname names 	Other	Pearson Edexcel Level 3 GCE
Centre Number 	Candidate Number 	

Economics A

Advanced

Paper 2: The National and Global Economy

Predicted Paper — Moderate (for revision purposes only)

Predicted Paper — For revision purposes only Time: 2 hours You do not need any other materials.	Paper Reference 9EC0/02 Total Marks 100
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Instructions

- Use black ink or ball-point pen.
- Fill in the boxes at the top of this page with your name, centre number and candidate number.
- There are three sections in this question paper. Answer ALL questions from Section A and Section B. Answer ONE question from Section C.
- Answer the questions in the spaces provided — there may be more space than you need.

Information

- The total mark for this paper is 100.
- The marks for each question are shown in brackets — use this as a guide as to how much time to spend on each question.
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Check your answers if you have time at the end.

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☐. If you change your mind about an answer, put a line through the box ☐ and then mark your new answer with a cross ☐.

You are advised to spend 30 minutes on this section.

Use the data to support your answers where relevant. You may annotate and include diagrams in your answers.

1 The table below shows selected macroeconomic data for the UK economy, 2021–2024.

Year	Real GDP (£bn, 2019 prices)	CPI inflation (%)	Unemployment rate (%)
2021	2,100	2.6	4.5
2022	2,180	9.1	3.7
2023	2,183	7.3	4.0
2024	2,203	2.6	4.3

Source: adapted from <https://www.ons.gov.uk/economy/nationalaccounts>

(a) Which one of the following best describes the change in UK CPI inflation between 2022 and 2024 shown in the data? **(1)**

- ☐ **A** Disinflation
- ☐ **B** Deflation
- ☐ **C** Hyperinflation
- ☐ **D** Stagflation

(b) Explain the likely effects on the UK housing market of the change in the Bank of England Bank Rate between 2022 and 2024. **(4)**

(Total for Question 1 = 5 marks)

2 In 2025 the Bank of England's Monetary Policy Committee (MPC) cut the Bank Rate from 5.25% to 4.50%.

Source: adapted from <https://www.bankofengland.co.uk/monetary-policy>

(a) Explain one likely effect of this cut in the Bank Rate on UK aggregate demand. **(2)**

(b) Explain one likely effect of this cut in the Bank Rate on UK business investment. **(2)**

(c) A cut in UK interest rates is most likely to cause the pound sterling, other things equal, to: **(1)**

- ☐ **A** appreciate
- ☐ **B** depreciate
- ☐ **C** become fully convertible
- ☐ **D** leave the floating exchange-rate regime

(Total for Question 2 = 5 marks)

3 UK government net borrowing rose to 5.4% of GDP in 2024.

Source: adapted from <https://obr.uk/economic-and-fiscal-outlook>

(a) Which of the following best describes government net borrowing? **(1)**

- ☐ **A** total government debt
- ☐ **B** the difference between government revenue and spending in a period
- ☐ **C** spending on capital projects only
- ☐ **D** total interest payments on outstanding debt

(b) Using an AD/AS diagram, explain the likely short-run effect on UK real GDP of a rise in government borrowing used to fund higher public spending. **(4)**

(Total for Question 3 = 5 marks)

4 In 2024 the UK ran a current-account deficit of 2.4% of GDP.

Source: adapted from <https://www.ons.gov.uk/economy/balanceofpayments>

(a) Explain one policy measure the UK government could use to reduce the current-account deficit. **(4)**

(b) A current-account deficit is most likely to be reduced by: **(1)**

- ☐ **A** a rise in the real exchange rate
- ☐ **B** a rise in export competitiveness
- ☐ **C** a rise in real household incomes
- ☐ **D** a rise in import tariffs by UK trading partners

(Total for Question 4 = 5 marks)

5 The UK government has set a long-term target of raising real GDP growth to 2.5% per year.

(a) Which of the following policies is most likely to raise long-run trend growth? **(1)**

- ☐ **A** A cut in the Bank Rate
- ☐ **B** A rise in unemployment benefits
- ☐ **C** Increased investment in education and research & development
- ☐ **D** A temporary rise in VAT

(b) Explain one supply-side policy that the UK government could use to raise long-run trend growth. **(4)**

(Total for Question 5 = 5 marks)

TOTAL FOR SECTION A = 25 MARKS

SECTION B

Read Figures 1 and 2 and Extracts A, B and C before answering Question 6.

Write your answers in the spaces provided.

You are advised to spend 1 hour on this section.

6 The UK's post-pandemic recovery

Figure 1: UK real GDP index (2019 = 100) and pre-pandemic trend, 2019–2024

Year	Actual real GDP (index)	Pre-pandemic trend (index)	Gap (% below trend)
2019	100.0	100.0	0.0
2020	90.3	101.5	11.0
2021	97.8	103.0	5.0
2022	101.6	104.6	2.9
2023	101.7	106.1	4.2
2024	102.6	107.7	4.7

Source: adapted from <https://www.ons.gov.uk/economy/grossdomesticproductgdp>

Figure 2: Bank of England Bank Rate, 2020–2025 (end of period, %)

Date	Dec 2020	Dec 2021	Dec 2022	Dec 2023	Dec 2024	Dec 2025
Bank Rate (%)	0.10	0.25	3.50	5.25	4.75	4.25

Source: adapted from <https://www.bankofengland.co.uk/boeapps/database>

Extract A — A slow and uneven UK recovery

By the end of 2024 UK real GDP had recovered to around 2.6% above its 2019 level, but remained some 4.7% below the pre-pandemic trend path. Productivity growth has been markedly weaker than in the United States; business investment has lagged behind most other G7 economies; and inflation only returned to the Bank of England's 2% target in mid-2024. Real household disposable incomes fell for two consecutive years in 2022 and 2023 — the largest two-year squeeze on living standards since comparable records began.

Several factors have been advanced to explain the weakness of the recovery: the lingering effects of Brexit on trade and investment; a 700,000-person rise in the number of working-age adults outside the labour force due to long-term sickness; and a sustained energy-price shock following Russia's invasion of Ukraine in 2022.

Source: adapted from <https://www.bbc.co.uk/news/business/uk-economy-recovery-2025>

Extract B — Monetary tightening and the cost of living

Between December 2021 and August 2023 the Bank of England raised the Bank Rate fourteen times, from 0.1% to 5.25%. The rise fed through to fixed-rate mortgage rates, with a typical two-year fix rising from under 2% to over 6%. The Office for Budget Responsibility estimated that around 1.6 million households would see their fixed-rate deals expire in 2024, with typical monthly payments rising by £240–£400. Consumer-credit interest rates also rose, though bank deposit rates moved much less quickly. Survey data showed consumer confidence falling to its lowest level since records began in 1974.

Source: adapted from <https://obr.uk/box/mortgage-pass-through-analysis>

Extract C — Long-term sickness and the shrinking labour force

The UK's economic inactivity rate (the share of working-age adults neither employed nor seeking work) rose by 1.2 percentage points between 2019 and 2024, with over half of that rise attributed to long-term sickness. NHS waiting lists stood at 7.4 million cases at the end of 2024. Mental-health-related inactivity rose particularly quickly among 18–34-year-olds. Economists argue that the shrinking labour supply has held back potential output and contributed to persistent wage pressure even when demand has been weak.

Source: adapted from <https://www.ons.gov.uk/employmentandlabourmarket/peoplenotinwork>

(a) With reference to Figure 1 and Extract A, explain one likely cause of the weakness of the UK's post-pandemic recovery. **(5)**

(b) Examine the case for using supply-side policy rather than demand-side policy to raise the UK's long-run trend rate of growth. **(8)**

(c) With reference to Extract C, assess the extent to which high levels of long-term sickness have held back the UK's economic recovery. **(10)**

(d) With reference to Figure 2 and Extract B, discuss the likely macroeconomic effects of the Bank of England's decision to raise the Bank Rate from 0.1% to 5.25% between 2021 and 2023. **(12)**

(e) Discuss the likely macroeconomic consequences of the UK government using additional public borrowing to fund a large one-off rise in public investment. Refer to Extract B and your own knowledge. **(15)**

(Total for Question 6 = 50 marks)

TOTAL FOR SECTION B = 50 MARKS

SECTION C

Answer ONE question from this section.

You are advised to spend 30 minutes on this section.

EITHER

7 In 2025 the UK Chancellor of the Exchequer announced a multi-year freeze on the income-tax personal allowance, bringing more workers into the tax system as their wages rise.

Source: adapted from <https://www.gov.uk/government/publications/budget-2025>

Evaluate the likely macroeconomic effects of this policy. Refer to relevant economic theory and real-world examples in your answer.

(25 marks)

OR

8 'The best way for the UK to achieve both low inflation and high employment is to give the Bank of England an even stronger mandate to target inflation.'

To what extent do you agree with this statement? Refer to relevant economic theory and real-world examples in your answer.

(25 marks)

Indicate which question you are answering by marking a cross in the box below.

Chosen question number: Question 7 ☐ Question 8 ☐

(Total for Section C = 25 marks)

TOTAL FOR PAPER = 100 MARKS